CFI 107/2025 Oluremi v Omolara

MARCH 03, 2026 COURT OF FIRST INSTANCE - ORDERS

Claim No: CFI 107/2025

THE DUBAI INTERNATIONAL FINANCIAL CENTRE COURTS

IN THE COURT OF FIRST INSTANCE

BETWEEN

OLUREMI

Claimant/Appellant

and

OMOLARA

Defendant/Respondent

JUDGMENT OF H.E. JUSTICE ROGER STEWART KC

UPON the claim being filed on 12 May 2025 (the "Claim") and a defence with counterclaim on 10 June 2025 in SCT-333-2025 (the "Counterclaim")

AND UPON the Judgment of H.E. Justice Maha Al Mheiri (the "Judge") dated 19 September 2025 (the "Judgment")

AND UPON the Order with reasons of H.E. Justice Roger Stewart KC dated 7 November 2025 granting permission to appeal against the Judgment and ordering a re-hearing of the matter

AND UPON the appeal taking place by way of re-hearing on 12 February 2026 (the "Hearing")

AND PURSUANT TO the Rules of the DIFC Courts (the "RDC")

IT IS HEREBY ORDERED THAT:

1. The Judgment is set aside.

2. It is declared that the Defendant unlawfully victimised the Claimant contrary to the provisions of Article 60 of the DIFC Employment Law by subjecting her to a detriment as a result of the doing of a protected act, namely the issue of proceedings, by placing her on "administrative leave" on 15 May 2025 and dismissing her without notice on 20 May 2025

3. The Defendant shall pay total compensation to the Claimant of AED 88,633 made up as to:

(a) Underpayment of wages and housing allowance prior to 20 May 2025 of AED 5,633;

(b) Payment in lieu of notice of AED 21,000 made up as to AED 17,000 wages and AED 4,000 housing allowance; and

(c) AED 62,000 as compensation for unlawful victimisation.

4. The Defendant's Counterclaim is dismissed.

5. The Defendant is to pay all and any DIFC Courts' filing fees or charges incurred by the Claimant

Issued by:

Delvin Sumo
Assistant Registrar
Date of Issue: 3 March 2026
At: 11am

SCHEDULE OF REASONS

Introduction

1. The Claimant is a senior pilates instructor who was employed by the Defendant's pilates studio located in the DIFC, Dubai, UAE under a contract of employment dated 26 September 2024.

2. The provisions of her contract of employment were not straight-forward and required the working of a minimum number of hours with provision apparently being made for the repayment of sums paid for hours not worked in the event of termination of employment within 3 years.

3. She was dismissed on 20 May 2025 quite shortly after having issued proceedings in the Small Claims Tribunal in respect of alleged victimisation. Her Claim was for compensation including for dismissal without notice.

4. The Defendant issued a Counterclaim seeking return of sums which were said to have been overpaid by way of wages.

5. By the Judgment, the Claimant's Claim was dismissed and she was ordered to pay the Defendant the sum of AED 17,000 offset by 3 day sick leave in respect of alleged overpayment of wages and to pay to the Defendant the DIFC Courts' filing fee.

6. The Claimant sought permission to appeal against the Judgement. For reasons set out in my Order with Reasons dated 7 November 2025, I granted permission to appeal and ordered that the appeal proceed by way of a re-hearing which took place before me on 12 February 2026. The Claimant

represented herself and the Defendant was represented by Ms Okeli .

The Issues

7. I consider that there are four main issues for determination:

(a) Whether there was harassment or victimisation as alleged by the Claimant;

(b) Whether there was a lawful immediate termination without notice on 20 May 2025 of the Claimant's employment;

(c) Whether the Claimant was entitled to redress or compensation including compensation in respect of harassment or victimisation and/or dismissal; and

(d) Whether the Defendant was entitled to recover the alleged overpayments of wages.

The Claimant's Contract of Employment

8. The Claimant's Contract of Employment is dated 3 October 2024. It consisted of a 17 page set of conditions and an 11 page Annex A with Key Employment Terms. It contained the following material provisions:

(a) Definitions including of **Monthly Contracted Hours** as the number of paid client sessions in a calendar month set out in Annex A;

(b) By Clause 3.1, that the Claimant was subject to a duty of goodwill, good conduct, trust, confidence, exclusive service, faith and fidelity to the Defendant;

(c) By Clause 4.1, that salary and pay conditions were as listed in Annex A;

(d) By Clause 4.3, that the Defendant would pay the Claimant monthly in arrears on the 7th day of each month;

(e) By Clause 11.1, that you agree during your employment after termination not to make any disparaging, negative, or defamatory statements, whether or oral, about the Defendant, its directors, officers, employees, consultants, agents, clients, customers, or any associated companies;

(f) By Clause 12.4, that the Defendant was entitled to terminate the Claimant's employment immediately upon written notice upon 13 identified events;

(g) By Clause 12.5, that the Defendant could place the Claimant on "garden leave" during any period of notice provided that the Defendant paid the Claimant's salary during the period of garden leave;

(h) By clause 25.1, that the agreement should be governed by and construed in accordance with the laws of Dubai;

(i) By clause 25.2, that the contract was in compliance with DIFC laws and regulation;

(j) By Annex A:

(i) That the contracted start date was 1 January 2025;

(ii) That the employment was full time with working hours exceeding 8 hours per day 5 days a week and that until 80% of monthly contracting hours were met, the Claimant was required to be at work six hours a week, 8 hours per day;

(iii) That the basic rate of pay was AED 13,000;

(iv) That the monthly contracted hours was 120 hours and included private, semi-private, group, successful trial and designated trial sessions with Paying Clients;

(v) Under the heading **Carry Forward Hours** "If you do not meet your Monthly Contracted Hours… from the 3rd month onwards, up to 20 hours will carry forward to the next month. You will not be paid extra while covering the balance of hours. For example, if you work 110 hours with paying clients in one month, your salary in the next month will cover 130 hours with paying clients. If the total carry forward exceeds 20 hours, the excess will be deducted at the hourly rate of your gross pay, which is calculated as your base salary plus any allowances divided by your MCH"

(vi) That the Housing allowance was AED 4,000;

(vii) That if an instructor resigns or their employment is terminated within 3 years, they are required to repay any overpayment received;

(viii) That if there are any carry forward hours at the end of employment or upon termination, the corresponding amount will be deducted from a final paycheck; and

(ix) That the notice period for termination was 30 days after the first 3 months of probation.

The Relevant Provisions of the DIFC Employment Law

9. The following provisions of the DIFC Employment Law No 2 of 2019, as amended, are relevant to the dispute:

(a) Article 3 which provides that the purpose of the Law is to:

(i) provide minimum employment standards for employees;

(ii) promote the fair treatment of employees by employers; and

(iii) foster employment practices that will contribute to the prosperity of the DIFC.

(b) Article 15 which provides:

"Itemised pay statements

(1) An Employee is entitled to receive as soon as reasonably practicable a written itemised pay statement in respect of each Pay Period that includes:

(a) The amount of the Remuneration payable; and

(b) The amount of any deduction from that amount and the purpose for which it is made.

(2) An Employer satisfies the requirements in Article 15(1) if it provides electronic access to itemised pay statements to an Employee containing the requisite details and such statements are capable of being printed."

(c) The requirements in Article 16 to keep payroll records including of the hours worked on each day by an Employee and each deduction from remuneration and the reasons for it;

(d) The restrictions on deductions from remuneration contained in Article 20;

(e) The provisions concerning sick leave in Article 35;

(f) The general duties of employees contained in Article 58;

(g) The provisions concerning victimisation contained in Article 60 and, in particular, the requirement on an employer not to victimise an employee which includes subjecting an employee to a detriment or dismissing them because of doing a protected act which includes issuing proceedings under Part 9 of the law or making an allegation that there has been a contravention of Part 9;

(h) The powers granted to the Court in respect of proceedings under Part 9 including in Article 61(5):

(i) To make a declaration as the rights of the complainant and the respondent and in relation to the matters to which the proceedings relate;

(ii) To order the respondent to pay compensation (limited by Article 61(7) to the Employee's annual wage);

(i) The provisions as to termination concerned in Articles 62 and 63.

The Relevant Facts

10. As was accepted by the Defendant's representative at the Hearing, the Defendant failed to provide the Claimant at any time during her employment with a "written itemised pay statement in respect of each Pay Period" which included the amount of remuneration payable and the amount of any deduction from that amount and the purpose for which it was made in accordance with the mandatory requirements of Article 15 of the DIFC Employment Law.

11. During the course of 2025, it appears that the relationship deteriorated between the Claimant and the Defendant. The reasons for that deterioration are in dispute between the parties with the Defendant making various allegations of unprofessional behaviour against the Claimant and the Claimant rejecting such allegations. There were also disputes as to the number of hours which the Claimant worked and the reasons as to why she had not worked more hours.

12. There was a particular incident where the Claimant spoke to another employee and their conversation was recorded. No disciplinary action was taken as a result of this conversation, but the Claimant was interviewed by the owner of the Defendant who counselled her as to the need for loyalty.

13. On 10 May 2025, the Defendant issued a written warning to the Claimant accompanied by a message from the Claimant's manager, Ms Okeli. The written warning made allegations:

(a) of failing to achieve the number of working hours required (stating that 25 hours per week were being achieved rather than 30);

(b) That the Claimant had repeatedly failed to clean and reset equipment, complete MBO checkouts and follow-ups and send session reminders and pre-book clients; and

(c) That the Claimant had been guilty of the use of inappropriate language during a recent meeting.

14. The accompanying message was largely positive in tone stating, for example "I want to be clear: you are an important part of the Dubai team. I've always appreciated your energy and the role you play in the studio, and I believe you have a lot to contribute as we continue to grow. The changes we're asking for are achievable, and I'm confident that with a bit of focus and support, we can get things back on track quickly…"

15. Ms Okeliy stated at the Hearing that she had a high regard for the Claimant and considered that she has the potential to be an excellent employee.

16. On 12 May 2025, the Claimant issued proceedings in the DIFC Courts against the Defendant alleging that she had been subject to harassment and seeking protection in relation to the same.

17. On Thursday 15 May 2025, the Claimant was placed on what was termed to be "administrative leave without pay" by a letter sent by email at 7:06pm. The email required the Claimant to attend a meeting at 8.15 that evening with Ms Okeli. The letter stated that this was being done "pending the resolution of the legal proceedings you have initiated through the DIFC Small Claims Tribunal. It went on:

"Given the sensitive nature of the claim you have filed, and the potential impact on the working environment for both you and the studio, the company has determined that it is no longer appropriate for you to continue your duties at this time. We believe it would be in the best interest of both parties to take this precautionary measure, which is intended to preserve the integrity of the workplace and avoid any potential conflicts during the egal process.

Please note that this administrative leave is not disciplinary and is purely a procedural decision due to the ongoing legal matter. It is being implemented to maintain a neutral environment and to ensure that neither you nor the company is put in a position that could jeopardize its professional integrity while the case is pending".

18. The letter continued:

(a) Setting out a series of restrictions on the Claimant;

(b) Making it plain that the Claimant's salary and fixed allowances including housing would be withheld;

(c) Stating that if the Small Claims Tribunal found the claims were valid, the Defendant would retroactively reclassify the period as paid leave;

(d) Stating that the Claimant was required to remain reachable by phone or email between 9am and 6pm on every day except Wednesday on the basis that the Claimant was available for employer contact "whilst still under active employment" with the purpose being to ensure that the Claimant was not engaging in external employment.

19. By email sent at 8.23pm on the same evening, the Defendant stated that it was noted that the Claimant had not attended the meeting and required a reply by 9am the following morning to confirm availability for a re-scheduled meeting.

20. The Claimant replied to that email at 9.34pm acknowledging the email and requesting that, as she had filed these proceedings, all communications take place in writing.

21. By email dated Friday 16 May timed at 12.41pm, the Defendant insisted on personal contact and stating that the email was a final written reminder and requiring confirmation by 6pm that night that the Claimant would make herself available for verbal or in person communication and attend a follow up check in within normal working hours.

22. By email dated 16 May 2025 timed at 5.53pm, the Claimant re-iterated her willingness to cooperate professionally within reasonable and lawful boundaries but that she was experiencing acute emotional distress due to ongoing retaliation and psychological pressure since filing proceedings.

23. By email dated 17 May 2025 at 8.47pm, the Defendant maintained that its position was reasonable and correct and required the return of the studio key by 11am the following morning.

24. By email dated 10.20am on Saturday 18 May, the Defendant required the Claimant to submit a visa cancellation form by 20 May and stated that the final salary would only be processed once this had been received.

25. On 20 May 2025, by email timed at 5:08pm, the Defendant stated that as the Claimant had not complied with administrative requirements relating to the return of visa cancellation form and participation in compliance check-ins, the Defendant considered that the employment relationship was at an end.

26. On 26 May 2025, the Defendant sent an email to the Claimant which:

(a) Asserted that the termination without notice was justified based on:

(i) Refusing to participate in verbal or in-person check-ins while on administrative under company visa sponsorship;

(ii) Failing to promptly return company property;

(iii) Being involved in a recorded conversation advising a former instructor as to how to seek compensation from the company; and

(iv) Documented disruption to studio cohesion and disregard for operational protocols;

(b) Asserted that no payment in lieu of notice was required;

(c) Stated that the pro-rated salary for May would be AED 8,266,67 after taking account of a loan deduction of AED 800 and a "carry forward deduction of AED 8,266.67;

(d) Required repayment of AED 17,000 for January and February which was said to have been repayable;

(e) Made no provision for payment of housing allowance.

Issue 1: Was there Harassment or Victimisation as alleged by the Claimant

27. This is a case where I consider it plain that the Defendant victimised the Claimant as a direct result of the institution of these proceedings on 12 May. In particular, I find:

(a) That the issue of the administrative leave letter on 15 May subjected the Claimant to a detriment within the meaning of Article 60(2) of the Employment law because of the Claimant's protected act in issuing these proceedings;

(b) There was no contractual mechanism by which the Claimant could lawfully be placed on "administrative leave" without pay;

(c) The terms of the leave were detrimental to the Claimant in that:

(i) she was precluded from actually working and having the opportunity to increase her remuneration;

(ii) She was not permitted to have normal relations with any other employer;

(iii) She was not to be paid until the successful outcome of her proceedings;

(iv) She was required to make herself available at any time of the Defendant's choosing for six days per week during her extensive working hours;

(d) That the Defendant had consciously decided to embark on a course of conduct which was intended to lead to dismissal as soon as possible given:

(i) The emails which I have referred to set out above and the timing of the same;

(ii) The fact that the Claimant was required to cancel her visa even before her employment had ended;

(iii) The requirement to return the key to the studio at short notice;

(iv) The lack of any investigation after the administrative leave letter;

(e) The dismissal was as a direct result of the issue of these proceedings. It was not because of the involvement in a recorded conversation (about which the Defendant had taken no disciplinary action) or because of alleged documented disruption (which had been dealt with by the written warning of 10 May).

28. During her submissions, Ms Okeli said that she did not accept that the administrative leave was detrimental to the Claimant and said that she had acted on the basis of legal advice (which was not produced). She said that she considered that the matter would be resolved quickly. I do not accept that Ms Okeli did not appreciate that the terms of the administrative leave were detrimental to the Claimant. Ms Okeli is plainly an experienced and intelligent person. She fully appreciated that the Claimant was both being required to be available at the beck and call of the Defendant without being paid for an indefinite period. She fully appreciated that was detrimental to the Claimant.

29. Ms Okeli also stated that since the Clamant had left the atmosphere in the studio was much better. I regret to say that I consider that Ms Okeli was seeking to justify her actions by reference to what the Defendant considered to be a "good result" rather than the obligations imposed on it by the Employment law, and indeed, the requirement to treat people fairly and decently.

Issue 2: Was the Immediate Termination of the Claimant's Employment Lawful on 20 May 2025?

30. It follows from my previous findings that the immediate termination was unlawful. No reasonable employer was entitled to terminate employment as a result of the issue of proceedings being a protected act. Further, even the alleged breaches (which I have found were not the true causes of termination) would not have justified immediate termination under Article 63 of the Employment Law.

Issue 3: Is the Claimant Entitled to Redress or Compensation including Compensation in respect of Harassment or Victimisation or Unlawful Dismissal

31. I consider that the Claimant is entitled to redress or compensation under four heads.

32. First, she is entitled to declarations that the Defendant unlawfully victimised her as a result of the issue of proceedings, being a protected act by placing her on administrative leave on 15 May and then dismissing her.

33. Although the issue of declarations does not provide financial recompense, she is entitled to be able to point to a judgment of this Court showing that she was unlawfully treated. Further, given the purposes of the Employment Law as set out in Article 3, it is important that employers know that if they treat employees unlawfully, the Court will issue declarations concerning the same.

34. Secondly, I consider that, in respect of her final salary payment for May 2025:

(a) She was entitled to a pro-rata housing allowance in accordance with her contract;

(b) The Defendant was not entitled to deduct a carry forward deduction of 20 hours amounting to AED 2,833.

35. As to the above matters:

(a) No justification appears to have been given for not making payment for the housing allowance;

(b) I do not consider that, on a proper construction, the contract permitted the deduction of the carry forward hours;

(c) Even if I am wrong about that, the Defendant is not entitled to make any deduction where the contract was unlawfully terminated and the Claimant was denied any opportunity make up the hours.

36. The pro-rata housing allowance amounts to AED 2,800 (being 11,900 divided by 17000 x 4000). The total additional payment up to 20 May 2025 accordingly amounts to AED 5,633.

37. Thirdly the Claimant is entitled to be paid in lieu of notice for 30 days. I consider that she is entitled to AED 17,000 by way of salary and 4,000 by way of housing allowance amounting to AED 21,000.

38. Fourthly the Claimant is, in principle, entitled to compensation for victimisation up to an amount of her annual wage. I consider that she is entitled to such compensation given:

(a) The circumstances of the victimisation as I have found them;

(b) The fact that, as I accept, she suffered stress and was made ill as a result of the Defendant's actions;

(c) The fact that the Claimant moved to Dubai to take up the job; and

(d) That, as I have found, the Defendant became determined to dismiss her as a direct result of her doing a protected act with the result that the Defendant's conduct can properly be viewed as cynical and in direct contravention of the law.

39. In the circumstances, I consider the appropriate compensation to be AED 63,000. I have reached this figure on the basis that it represents 3 months wages and housing allowance. I consider it adequately reflects the damage the Claimant has suffered. It also bears an appropriate relationship to the statutory maximum and the cynical conduct of the Defendant.

Issue 4: Is the Defendant entitled to recover the alleged overpayment of Wages?

40. I consider that the Defendant is not entitled to recover the alleged overpayment of wages for 4 reasons:

(a) I do not consider that the employment contract on its proper construction provides for such recovery in any event given:

(i) The requirement for any deduction to be clear;

(ii) The fact that the "Carry Forward Hours" only refers to not meeting monthly contracted hours from the 3rd month onwards with result that there was no "overpayment";

(b) If there was such an overpayment, it was waived by the Defendant and could not be revived in circumstances where she had continued to work;

(c) There was no entitlement to repayment where the contract was unlawfully terminated; and

(d) If there were such repayment, it would permit the Defendant to take advantage of its own wrong in a way which would be contrary to principle.